

Mr Oliver Yerbury-Hodgson and Ms Chloe  
Chousmer-Kerr  
37 Wedgnoek Green  
Warwick  
Warwickshire  
CV34 5EQ

OUR REF: RB/SK/YERBURY-HODGSON/CHOUSMER-  
KERR/120237/0001

EMAIL: Roy.Bridge@stephenrimmer.com

12 January 2024

Dear Oliver and Chloe

**Purchase Of: 55 Avon Street, Warwick, CV34 4PX**

I have received your mortgage instructions following the issue of your mortgage offer.

The purpose of this letter is to advise you on certain points. We cannot advise you on the suitability of the mortgage and/or the mortgage product and you must rely upon advice given by your Mortgage Arranger/Financial Adviser, not only on those points, but also generally on the repayment vehicle for the mortgage and interest rate being charged, penalties due for repayments etc.

The rate of interest being charged and any penalties are set out in the mortgage offer and if you are uncertain or have queries with regard to any of the terms please take those up immediately with your Mortgage Arranger/Financial Adviser and in any event, please make absolutely sure you are completely satisfied with all terms before committing yourself to this mortgage.

All mortgages are basically the same:-

1. The Lender lends you money and in return you agree that you will repay that mortgage, you will also repay all the interest on the mortgage and you will give the Lender a full indemnity in respect of all their additional costs on the administration of your mortgage.
2. You should look on the property as belonging to the Lender company until such time as the loan has been paid off, with you agreeing to look after it on their behalf and not doing anything detrimental to it without their consent. This means not obtaining any further mortgages, not carrying out any structural alterations, not applying for or obtaining any planning permission, not creating any leases or licences, without their prior consent, which for your own protection must be in writing.
3. Given that the property is notionally "theirs", you agree that if anybody serves a notice on you regarding the property, you will copy it to the Lender.

The Lender has considerable power over you:-

- (a) The main power that they have is the power of sale. If you are in breach of the mortgage conditions (such as not making the necessary payments) then they can either ask for all their money back immediately or, alternatively, if you are unable to pay there and then, they can repossess the property and sell it to recover the amount of their loan.

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- (b) If they do repossess, the repossession will be handled by a representative of the Lender and all the expenses will be added on to your debt. That representative will sell the property as quickly as possible (often cheaply) and if there is any shortfall on the sale price and an amount outstanding on the mortgage, then you will still remain fully liable for the shortfall. The Lender is under no duty to you whatsoever to get the best price or to take care of any items of yours, which are left at the property after the repossession.
- (c) The Lender also has the power of being your attorney, which means that if you do not do something which you should do (such as insuring), they can do it on your behalf and add the cost on to your mortgage account.

*If you do get into difficulties over the mortgage, then it is best to approach the Lender immediately and let them know what your situation is and come up with another proposal for payments. You have a better chance of avoiding repossession if you keep in contact and keep the Lender informed rather than by silence. As a general rule, Lenders are slow to carry out repossession if there is some proposal put forward by the Borrower, which the Borrower can then keep to.*

- 4. The mortgage secures all liabilities between yourselves and the Lender and this is not merely the amount which you borrowed under the loan but also includes any future borrowing from the Lender.
- 5. The Lender requires buildings insurance to be in place in respect of the property to reflect the full reinstatement value. Please make absolutely sure the property is not under insured, because if there is a claim, you may only get part of the claim in settlement. You will also need to remember to advise the insurance company and review the amount of cover if, for example, you alter or extend the property, which would result in an increase in value. If the insurance has not been arranged through the Lender then the Lender normally requires their interest to be noted on the policy as Mortgagee.

The obligations on your part to the Lender will be joint and several which means that you will each be liable for the total debt and all sums due under the mortgage. If you are uncertain as to the effect of the documentation or have any queries please contact me.

The European Consumer Credit Directive requires mortgage lenders to allow for a reflection period of 7 days from the date and the offer is received by the customer. If you instruct us to request your mortgage advance before the reflection period has expired, we and the lender will treat that as acknowledgement by you that you wish to dispense with the reflection period and you wish to proceed with the mortgage.

**Should any adult(s) be living at the property with you on completion of the mortgage, I will need to get them to sign a form of consent to the mortgage, which is required by the Lender. In that case I will need their full names please.**

I enclose the mortgage deed which please sign where indicated in the presence of an independent adult witness who is not related to you. The witness should then sign and print their name, address and occupation. The original document should then be returned to me undated. **Please do not send scanned copies we will require an original.**

If there are any conditions to be satisfied before the mortgage advance is released, please deal with all of them fully before returning the mortgage deed to us signed.

If you have any queries or concerns, please do not hesitate to contact me.

Kind regards

Yours sincerely

  
Roy Bridge  
Partner